

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MARIE CAREW D/B/A/ HOLIDAY SHIPPING, *Complainant*

v.

MAERSK LINE A/S & JOHN DOES, *Respondents*.

DOCKET NO. 20-17

Served: January 25, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER REQUIRING JOINT STATUS REPORT

On December 1, 2020, Respondent Maersk Line filed a notice of motion to dismiss, memorandum in support of motion (“Motion”), and exhibits. On January 12, 2021, Complainant filed a response to the motion (“Opposition”) with exhibits. On January 19, 2021, Maersk filed a reply memorandum (“Reply”) with exhibits. On January 21, 2021, Complainant filed a rebuttal to Maersk’s reply (“Sur-Reply”) with an exhibit in replacement of an exhibit attached to its opposition.

Complainant’s opposition was not filed timely. Indeed, it was not filed until being contacted by this office and then was filed with an incorrect attachment. The filing did not explain the delay nor request leave to file it late. The parties must follow the requirements of the initial order issued October 22, 2020, and Commission Rules, 46 C.F.R. § 502, et seq. If Complainant is not receiving emails, Complainant should monitor the docket, available at www2.fmc.gov/readingroom/proceeding/20-17/. In the future, filings may be rejected if they are not filed properly and timely.

Maersk’s motion to dismiss raised two arguments. The first argument alleged that “bringing a proceeding before the FMC for the same fees which are already the subject of a court action is patently improper.” The argument cites for support *VerTerra Ltd. v. D.B. Group Am. Ltd.*, Docket No. 19-09, specifically a decision listed as “F.M.C. Jan. 13, 2020.” However, in *VerTerra*, the document filed on January 13, 2020, was D.B. Group’s motion to dismiss, not an order of the Commission. That motion to dismiss was denied in a decision stating that “Commission precedent holds that even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act.” *VerTerra*, 2020 FMC LEXIS 31 at *2 (ALJ March 5, 2020) (Order Denying Motion to Dismiss or Stay Proceeding). Maersk’s argument, therefore, is based upon a material misrepresentation of legal authority.

The second argument raised in the motion to dismiss indicates that Maersk has agreed to release Holiday from the demurrage charges at issue. Motion at 7. Complainant's response states that four of the containers at issue have not been released and that Maersk has only agreed to dismiss claims against two of the containers. Opposition at 1-2. Maersk replies that the issue is moot because demurrage is not sought for the containers, whether Maersk is still in possession of the cargo is irrelevant, and the federal court should decide whether venue with it is proper. Reply at 1-6. The Complainant asserts that two bills of lading are still at issue and that Maersk converted four of the containers. Sur-Reply at 1.

Although the complaint alleges the "continued retention" of four containers and states that the cargo was with the Department of Customs and Border Patrol for the days on which demurrage is sought, Complaint at 2-3, the status of the containers identified in the complaint is not clear. Therefore, counsel for the parties are instructed to talk to each other and then file a joint status report. The joint status report should indicate the date on which they spoke.

The parties will prepare a joint table listing for each shipment: the bill of lading number, status of demurrage charges, and whether the cargo was released to the consignee for the following containers: SUDU6808042, B/L: 965477262; MSKU8180603, B/L: 965544009; MSKU8445214, B/L: 965751148; and MRKU6064475, B/L: 965885829. This table should be included in the joint status report.

The parties should note that this proceeding cannot adjudicate breach of contract issues, which are being litigated before another court. This proceeding can only adjudicate alleged violations of the Shipping Act. The complaint alleges a violation of section 41102(c) which states: "A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 U.S.C. § 41102(c). An interpretive rule requires the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4. The parties should review the Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478 (Dec. 17, 2018).

In addition, the Commission recently released an interpretive rule on demurrage and detention. This rule has a section specifically dealing with government inspections which states: “[i]n assessing the reasonableness of demurrage and detention practices in the context of government inspections, the Commission may consider the extent to which demurrage and detention are serving their intended purposes and may also consider any extenuating circumstances.” *Interpretive Rule on Demurrage and Detention under the Shipping Act*, 85 Fed. Reg. 29,638 at 29,666, *see al so* 85 Fed. Reg. at 29659 (May 18, 2020) (“Demurrage Rule”).

The parties are encouraged to discuss settlement. The joint status report should indicate whether or not settlement was discussed but *must not provide details regarding settlement negotiations*. If the proceeding is settled, the parties should file a motion seeking approval of the settlement, with a copy of the settlement attached. The parties are reminded that under certain circumstances, attorney fees may be awarded to the prevailing party. 46 U.S.C. § 41305(e); *see also* Docket No. 15-06. It is therefore in the best interest of all parties to resolve this proceeding expeditiously.

Accordingly, it is hereby **ORDERED** that the parties file a joint status report by February 25, 2020, including when they met, whether settlement was discussed, a table with container status, and any additional argument regarding next steps.



Erin M. Wirth
Chief Administrative Law Judge